CITY OF VANCOUVER

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Where do Vancouver businesses survive?



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Where Should You Start a Business in Vancouver?

Five-year survival, turnover, and location in thirty years of City business licences

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Abstract. A person opening their first business in Vancouver faces two decisions: what to open and where to open it. We used every business licence the City of Vancouver has published since 1997 (about 1.95 million records), linked into 273,365 business locations followed from opening to closing, to inform both decisions. Five Tableau visualizations move from the citywide picture to a specific recommendation. Vancouver's business count grew until 2014 and then stalled, while about 6,660 businesses opened and 6,320 closed in a typical year. Five-year survival differs by up to 19 percentage points between categories, from 51.0% in Finance and Real Estate to 32.0% in Education. Across 14 industries, turnover and survival move in opposite directions (correlation −0.87), so volatile industries are also the ones where new businesses are least likely to last. Survival also varies widely by neighbourhood, and the best neighbourhood depends on the industry. We recommend Finance and Real Estate or Health and Wellness to owners who value continuity, matched to the neighbourhoods where each industry has performed best, and caution, low fixed costs, and early demand testing for owners entering higher-turnover industries.

Keywords: business survival; turnover; small business; Vancouver; open data; Tableau

1 Introduction

Most advice for new business owners is general: write a plan, watch your cash flow, know your customer. Less of it uses local evidence on which kinds of businesses tend to last, and where. The City of Vancouver requires every business to hold a licence, renewed each year, and publishes these records as open data. Because a licence is renewed annually, the records show when a business first appears and when it stops renewing, which lets us estimate how long businesses last.

Our audience is a prospective owner in Vancouver who has not yet signed a lease. We frame the project around their two decisions and answer them with five charts that build on one another:

1. How volatile is Vancouver's business scene?
2. Which business categories are most likely to survive five years?
3. Which industries are stable, and which are risky?
4. Where do new businesses last?
5. Where should I open my kind of business?

Charts 1 to 3 address *what* to open; Charts 4 and 5 address *where*. This report explains how the data were prepared, how each measure is defined, what each chart shows, and the limits on what the results can support.

2 Data and methods

2.1 Source and preparation

We used the City of Vancouver Open Data Portal's Business Licences dataset (1997 to 2026) and its Local Area Boundary file, which defines the city's 22 local areas [1, 2]. The raw licence files total about 1.95 million records. A Python notebook cleaned the records, built the business identifier described in Section 2.2, and produced a yearly file (one row per business per year) and a summary file (one row per business). In Tableau, the two files are related on `business_id`, and the summary file is spatially joined to the boundary file.

Two adjustments shape every result. First, the City uses hundreds of business types and replaced its entire list in 2024. To compare industries across thirty years, we grouped them into 16 categories, such as Food and Drink, Retail, and Professional and Office Services. Second, many licences are for rental housing, such as apartment buildings and short-term rentals. These are not the kind of business our audience is opening, so residential rentals are excluded throughout.

2.2 Building a business identifier

The dataset has no business identifier. Each row is a licence, and a business receives a new licence every year, so the same business can appear up to 30 times. Counting rows would count each business once per year it was open, and survival cannot be measured without knowing which licences belong to the same business. We therefore built our own `business_id` in four steps.

1. **Remove duplicate licences.** The 2024 licences appear in two of the City's files. We kept one copy of each, using the City's licence number (`LicenceRSN`) and keeping the newest file's version, which carries the latest status.
2. **Define a business as one legal name at one address.** We matched on the legal name because the trade name is blank on about 60% of licences. Names were standardized (upper case, punctuation and legal endings such as Ltd and Inc removed) so that "Joe's Cafe Ltd." and "JOES CAFE LTD" match, and addresses were standardized so that "Fraser Street" and "FRASER ST" match.
3. **Treat each chain location as its own business.** Each location of a chain holds its own licence and can open or close on its own, so 30 Starbucks addresses count as 30 businesses. A name found at 5 or more addresses is flagged as a chain, so chain locations can be separated from independent businesses.
4. **Collapse multiple licences in a year.** Some businesses hold more than one licence in the same year at the same address, such as a replacement licence or a second licence for another activity. These count as one business in that

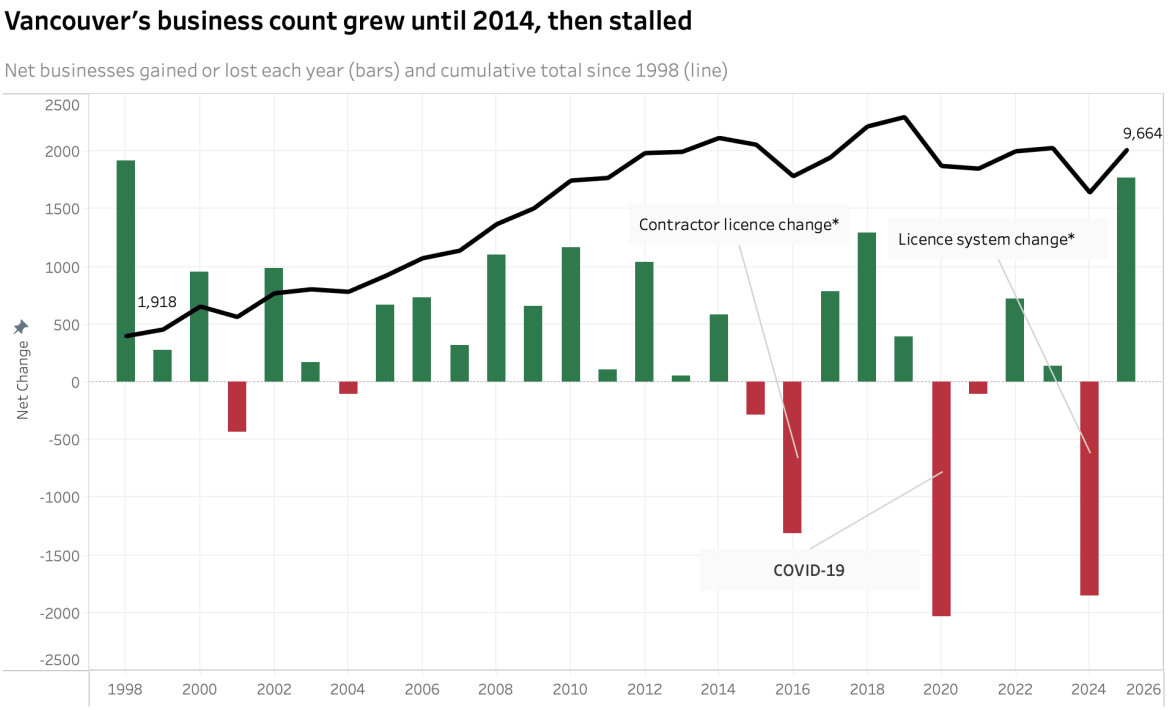


Figure 1. Net businesses gained or lost each year, 1998 to 2025 (bars, green for gains and red for losses), with the cumulative total since 1998 (line, separate scale). Starred drops are mostly contractor licence changes, not real closures. Residential rentals excluded; licence-based counts.

year.

This produced 273,365 businesses. About half of licences have no address (mostly home-based businesses), and these are matched on name alone. The main cost of this definition is that a business that moves or changes its legal name appears as one business closing and another opening.

2.3 Measures

Net change is openings minus closures in a year, from 1998 to 2025. 1997 is excluded because the first year of data cannot show openings.

Five-year survival is the share of business locations first observed between 1998 and 2021 that were still licensed five years later. 2021 is the latest opening year with five full years of follow-up. Businesses already licensed in 1997 are excluded because their start year is unknown. This is our main measure of success.

Turnover rate is openings plus closures per active business each year, averaged over 1998 to 2025. 2024 is excluded because the licence system change inflated closures that year, and 2026 is excluded because its closures cannot be seen until 2027 data exist. This is our measure of volatility.

2.4 Thresholds and geography

Chart 2 shows only categories with at least 500 eligible businesses. Chart 3 excludes Agriculture, which has only 14 businesses, leaving 14 industries. About half of all businesses are home-based and have no public address, so the maps (Charts 4 and 5) show storefront and office businesses only. Records listed as Unknown, Out of Town, or UBC were also excluded from the maps because they cannot be matched to a neighbourhood. In Chart 5, neighbourhoods with fewer than 5 businesses in the selected industry are left blank.

2.5 Design choices

All five charts were built in Tableau and share one colour rule: green means better than the Vancouver average and red means worse. Reference lines mark the averages, so each chart answers "better or worse than typical?" at a glance. Each chart has a headline that states its finding, and annotations are limited to the few values a reader needs. Labels inside the maps were removed and replaced with a small number of annotation boxes so the colour pattern stays readable.

3 Results

3.1 Chart 1: A busy market that stopped growing

Vancouver's business scene is busy and competitive, but the overall count is stable (Figure 1). In a typical year about 6,660 businesses opened and 6,320 closed, yet net change never passed 2,100 in either direction. The total grew by about 600 businesses a year until 2014 and then stalled, ending 2025 at 9,664, below its 2014 level. Even the 2008 recession had little visible effect.

Only one of the three largest drops reflects a real economic shock. In 2020, net change was −2,032: COVID-19 mainly stopped new businesses from starting, and openings fell to a 28-year low of 4,182. The 2016 and 2024 drops were driven mostly by contractors leaving the data after licence policy changes, not by widespread closures. For a new owner, this describes a crowded market: a new business is more likely to compete for existing demand than to benefit from overall growth, and it faces new competitors every year.

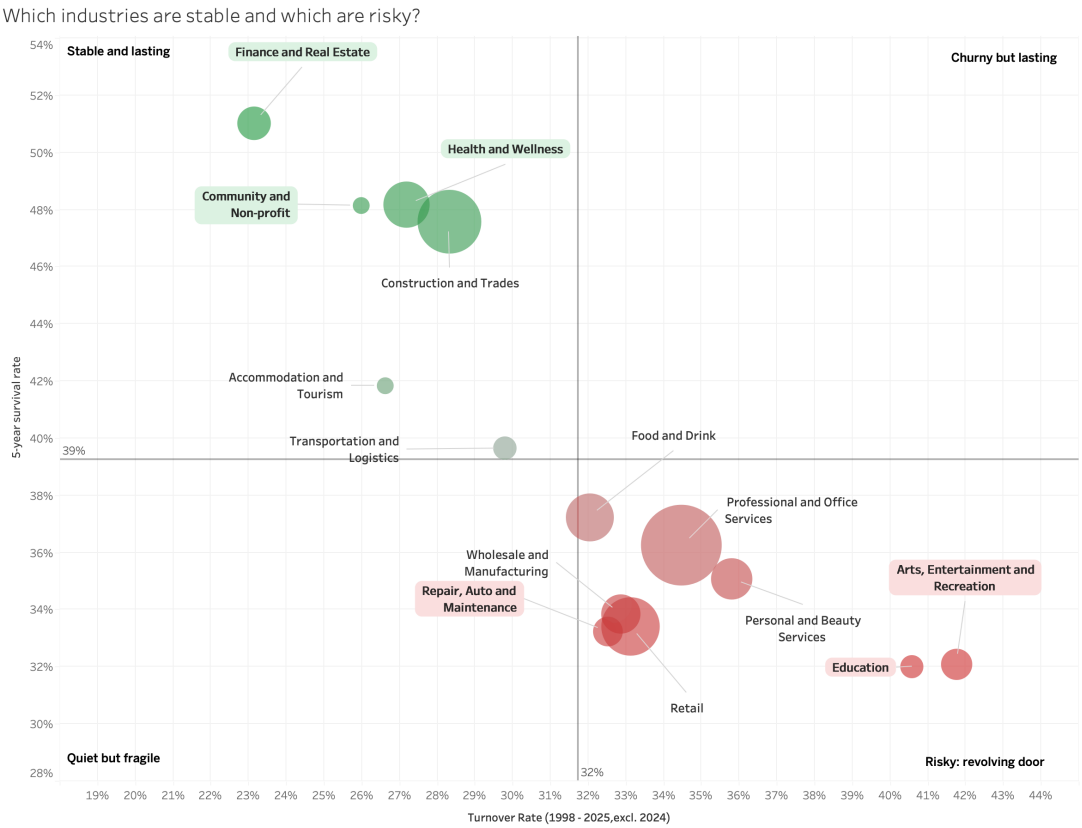


Figure 3. Turnover rate (1998 to 2025, excluding 2024) against five-year survival (businesses opened 1998 to 2021) for 14 industries. Dot size shows the number of businesses. Lines show the averages of the 14 industries. Green dots have above-average survival and red dots below; the top three and bottom three industries are highlighted. Licence-based.

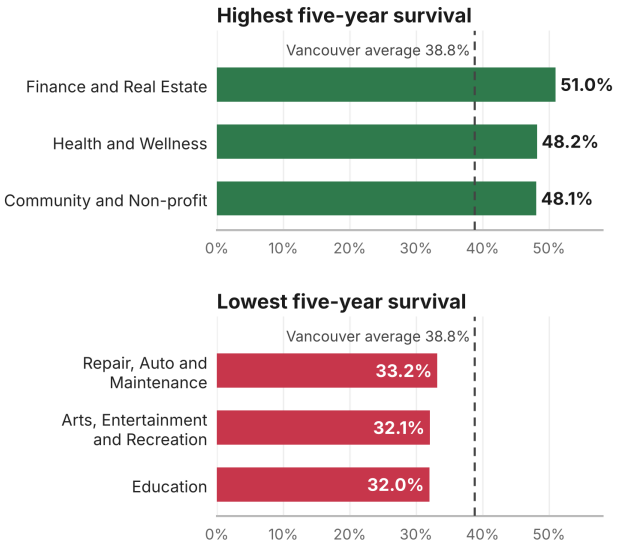


Figure 2. Categories with the highest and lowest five-year survival. Businesses opened 1998 to 2021; residential rentals excluded; categories with at least 500 businesses. Dashed line: Vancouver average (38.8%).

3.2 Chart 2: Category matters

Across all business locations opened from 1998 to 2021, 38.8% survived five years. Finance and Real Estate had the highest rate at 51.0%, followed by Health and Wellness at 48.2% and Community and Non-profit at 48.1%, roughly 9 to 12 points above the average (Figure 2). At the other end, Repair, Auto and Maintenance recorded 33.2%, Arts, Entertainment and Recreation 32.1%, and Education 32.0%. The 19-point gap between the highest and lowest categories shows a substantial association between category and historical survival.

The leading categories are useful starting points when long-term continuity is the priority. Someone with relevant qualifications could look first at finance or health services and then assess local demand, entry requirements, and operating costs. Community and Non-profit also survives well, but its mission and funding model call for a different assessment from a commercial venture. The chart does not explain why some categories last longer; it shows where closer investigation is most valuable.

3.3 Chart 3: High turnover goes with low survival

Survival is only part of the picture. An industry where businesses constantly open and close is a less predictable place to start. Figure 3 plots each industry's turnover rate against its five-year survival, with dot size showing the number of businesses and lines at the averages of the 14 industries (about 32% turnover and 39% survival).

The two measures move in opposite directions (correlation −0.87). Every industry fell into one of two quadrants. Six were stable and lasting, with below-average turnover and above-average survival; eight were risky, with the reverse. No industry combined high turnover with high survival, and none combined

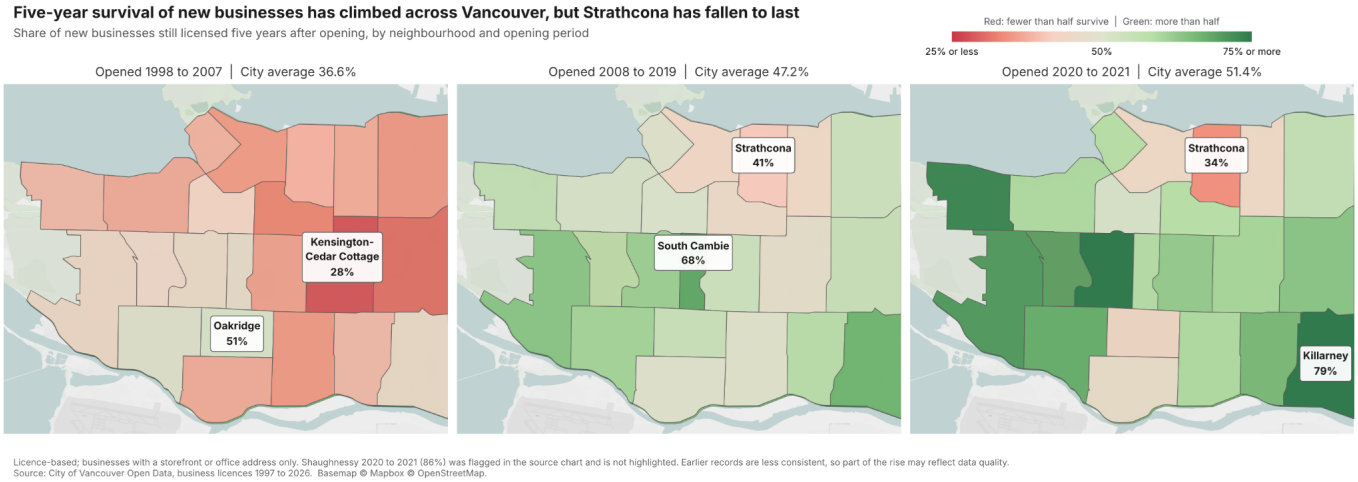


Figure 4. Five-year survival of new businesses by neighbourhood and opening period. Red: fewer than half survive; green: more than half. Storefront and office businesses only; licence-based. Basemap © Mapbox © OpenStreetMap.

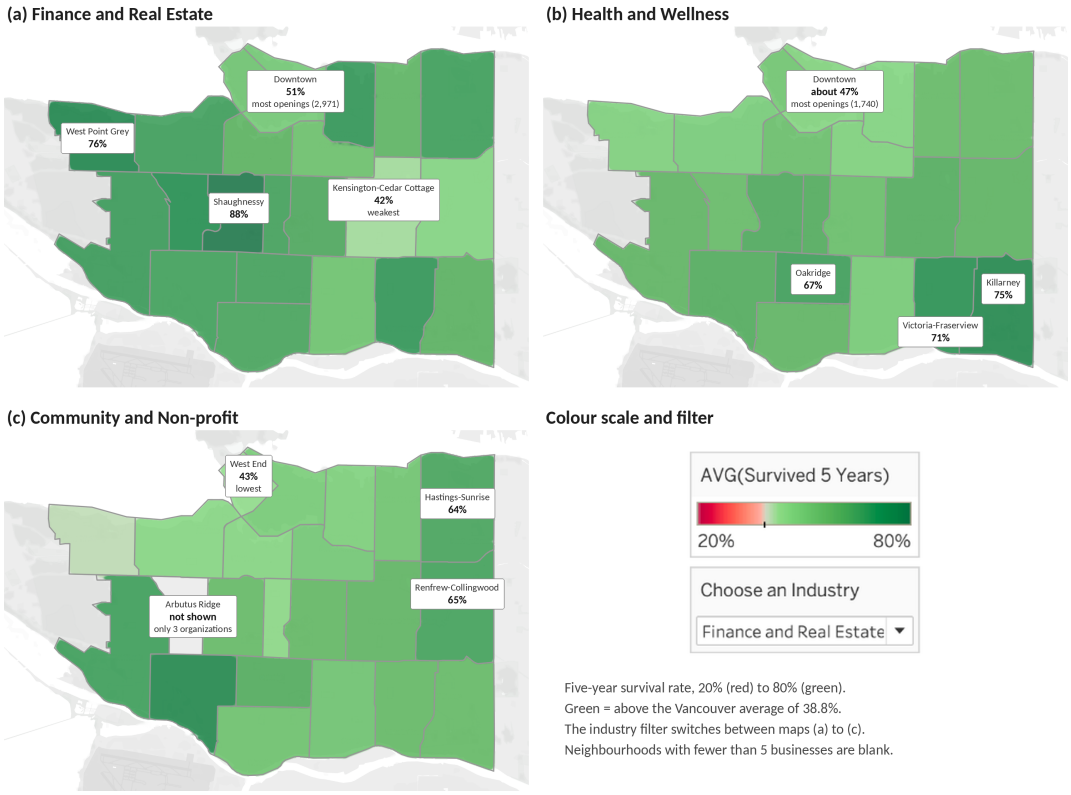


Figure 5. Five-year survival by neighbourhood for the three categories with the highest survival, selected with the dashboard's industry filter. Green: above the Vancouver average (38.8%). Storefront and office businesses only; licence-based. Map labels were replaced with annotation boxes for readability; values are unchanged.

low turnover with low survival. Where businesses come and go quickly, new ones are least likely to last.

Finance and Real Estate was the most stable industry, with the lowest turnover (23.2%) and the highest survival (51.0%), followed by Health and Wellness (27.2% turnover) and Community and Non-profit (26.0%). Construction and Trades is the largest stable industry, with 35,785 businesses. At the other end, Arts, Entertainment and Recreation had the highest turnover (41.8%), and Education combined 40.6% turnover with the lowest survival. The eight risky industries, including Retail, Food and Drink, and Professional and Office Services, account for 67.9% of businesses in the chart, so most new owners are entering a risky industry.

3.4 Chart 4: Where new businesses last

Figure 4 shows five-year survival by neighbourhood for three opening periods: before the 2008 financial crisis (1998 to 2007), between the crisis and COVID-19 (2008 to 2019), and 2020 to 2021. This allows a comparison around two major shocks without assuming either event caused the changes. The same colour scale is used on all three maps, so colours can be

compared directly.

The citywide rate rose from 36.6% to 47.2% to 51.4%, an increase of 14.8 percentage points. In the latest period, Killarney reached 79.2% (96 businesses), West Point Grey 73.0% (63), and Dunbar-Southlands 69.5% (105). Shaughnessy showed 85.7%, but on only 28 businesses, so we do not highlight it. Strathcona fell to last at 33.9%, and Oakridge and Grandview-Woodland were also below the latest city average. Older records are less consistent, so part of the rise may reflect data quality rather than a real improvement.

3.5 Chart 5: The best neighbourhood depends on the industry

Chart 4 combines all industries, but a restaurant faces different conditions from an accounting office. Chart 5 adds an industry filter to the neighbourhood map. Figure 5 shows it set to the three categories with the highest survival in Chart 2. Green means above the Vancouver average of 38.8%, and darker means further above it.

Finance and Real Estate businesses beat the Vancouver average in every neighbourhood, with 51% lasting five years overall. Shaughnessy (88%), West Point Grey (76%), and Arbutus Ridge (72%) give the best odds. Downtown has the most openings (2,971) but only an average result for the industry (51%), and Kensington-Cedar Cottage is the weakest at 42%.

Health and Wellness businesses survive five years 48% of the time, and no neighbourhood falls below the city average. The east and south of the city lead: Killarney (75%), Victoria-Fraserview (71%), and Oakridge (67%). The busiest areas, Downtown (1,740 openings) and Mount Pleasant, sit lowest at about 47%, which points to heavier competition.

Community and Non-profit organizations last five years 48% of the time, with every mapped neighbourhood above the city average. Renfrew-Collingwood (65%) and Hastings-Sunrise (64%) stand out, and the West End is lowest at 43%. This industry has fewer organizations per neighbourhood, so areas with under 20 should be treated as indicative only. Arbutus Ridge is blank because only 3 organizations opened there; with so few, one opening or closing would move its rate by 33 points.

4 Recommendations

For a prospective owner in Vancouver, the results support three recommendations.

1. **What to open.** If long-term continuity is the priority, start research with Finance and Real Estate or Health and Wellness, which combine the highest survival with the lowest turnover.
2. **Where to open.** Check the map for your own industry, because the best neighbourhood changes with it. For Health and Wellness, Killarney, Victoria-Fraserview, and Oakridge; for Finance and Real Estate, Shaughnessy, West Point Grey, and Arbutus Ridge. The busiest area is not always the best one.
3. **If you enter a riskier industry.** Retail, Food and Drink, and the other high-turnover industries are where most businesses open. Test demand with a small-scale offering, keep fixed costs low, estimate the customer volume needed to cover costs, and build repeat customers before expanding.

In every case, the best choice should also fit the owner's skills, experience, and resources. These charts narrow the search; they do not replace a business plan.

5 Limitations

Licence-based measures. We measure whether a business stayed licensed, not whether it was profitable, and we do not observe revenue or employment. A business that moves or changes its legal name appears as a closure, which raises turnover and lowers survival, so our survival rates are conservative.

Policy changes. The 2016 contractor licence change and the 2024 licence system overhaul inflated closures in those years. We flag both in Chart 1 and exclude 2024 from the turnover rate.

Coverage and sample size. The maps cover only businesses with a storefront or office address, about half of all businesses. Some neighbourhood and industry combinations have few businesses, so their rates can swing widely. Older records are less consistent, which may account for part of the rise in Chart 4.

Association, not cause. The analysis does not control for business size, rent, owner experience, or local demand. In Chart 3, Transportation and Logistics and Food and Drink sit close to the average lines, so small changes in the data could move them to a neighbouring quadrant. The charts show patterns in the licence data but cannot explain why the differences occur.

6 Conclusion

Vancouver's business landscape is volatile: thousands of businesses open and close every year, and most new owners enter high-turnover industries. Both what you open and where you open it shape the odds of lasting five years. An industry's turnover rate is a useful early warning sign, and the neighbourhood map, filtered to the owner's own industry, turns citywide patterns into a specific shortlist of locations.

AI use

Our group set the questions, analysis, and conclusions. Claude (Anthropic) wrote the data cleaning code and helped with Tableau setup, chart refinements, and the map annotations.

For this report, each member wrote up their own chart, and Claude combined those write-ups into one document: it drafted the introduction, methods, recommendations, and limitations from our work, edited the text for consistency and length, and set the two-column layout. Figures were resized and rearranged to fit the page (Figure 2's two bar charts were redrawn as one figure, and Figure 5's three maps were placed in a grid); no values were changed.

References

[1] City of Vancouver. (2026). *Business licences* [Data set]. City of Vancouver Open Data Portal. `https://opendata.vancouver.ca/`

[2] City of Vancouver. (2026). *Local area boundary* [Data set]. City of Vancouver Open Data Portal. `https://opendata.vancouver.ca/`